United States Government Accountability Office

GAO

Report to Congressional Requesters

December 2007

ENERGY MARKETS

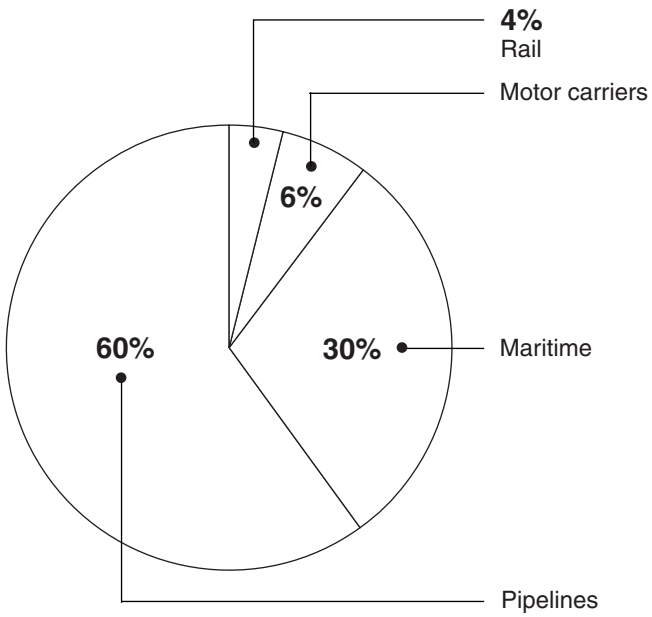
Increasing Globalization of Petroleum Products Markets, Tightening Refining Demand and Supply Balance, and Other Trends Have Implications for U.S. Energy Supply, Prices, and Price Volatility



GAO-08-14

As displayed in figure 3, about 90 percent of all petroleum products currently travel by either pipeline or marine transport. Because of these two modes dominance, our analysis of the nation's supply infrastructure system will be limited to the pipeline and the marine transport system.

Figure 3: Transport Mode of Petroleum Products in the United States, 2004



Source: GAO analysis of Bureau of Transportation Statistics data.

Pipelines are generally the least expensive mode for transporting oil and most petroleum products.[7] Most of the United States pipeline infrastructure—approximately 166,000 miles of crude oil and petroleum product pipeline—was constructed in the 1950s, 1960s and 1970s to accommodate the needs of the refining sector and demand centers at that time. These main pipelines were built to transport petroleum products from the Gulf Coast and Midwestern oil fields—where many of the nation's refineries were—to the East Coast, the United States' largest consuming region. The first large transmission pipelines for petroleum products were constructed during World War II, and ran primarily from

[7]By petroleum products, we refer to primarily gasoline, diesel, jet fuel, heating oil. Most petroleum products and crude oil are shipped primarily by pipeline within the United States. Imports of petroleum products and crude oil, however, travel to the United States mainly over sea by vessel.